#13 · 2.8% of marks

Ind AS 105 — Held for Sale & Discontinued Ops

Classify (strict criteria) → measure at **lower of** CA and FV − CTS → **stop depreciation** → present separately.

1 HFS criteria — ALL must be met at RD 6 - 8

Available for immediate sale

In **present condition**, on usual / customary terms (e.g., not still under construction, not needing major repair the buyer demands)

Sale highly probable

- Management (appropriate level) **committed to a plan**
- **Active programme** to locate a buyer started
- **Actively marketed** at a **reasonable price** vs FV
- Completion expected **within 1 year**
- Significant changes / withdrawal **unlikely**
- Shareholder approval probability considered

→ **> 1 year** allowed if delay due to **events beyond control** and entity **remains committed** 9 · App B

→ Asset acquired exclusively for resale → HFS at acquisition if 1-year test met and others met **within a short period (≈ 3 months)** 11

→ Criteria met **after RD** (before approval) → **not HFS** at RD; disclose (Ind AS 10 non-adjusting) 12

→ **Abandoned** assets → **not HFS** (recovered through use) — but may be a **discontinued operation** when abandoned 13

→ **Held for distribution to owners** → same treatment (FV less costs to distribute) 12A

2 Measurement 15 - 25

→ Just before classification → measure under **applicable Ind AS** (depreciate, impair)

→ Then: **lower of carrying amount and FV less costs to sell**

→ Write-down → **impairment loss in P&L**; later increase in FV − CTS → **gain** but **only up to cumulative losses** recognised (Ind AS 105 + earlier Ind AS 36)

→ **No depreciation / amortisation** while HFS; interest & other expenses of liabilities in a disposal group continue

→ Sale beyond 1 year → costs to sell **discounted**; unwinding → finance cost

3 Disposal groups

- → Group of assets (+ directly associated liabilities) disposed together in one transaction
- → Impairment loss allocated to **non-current assets in scope** in Ind AS 36 order: **goodwill first**, then pro rata 23
- → **Measurement-scope exclusions** (keep own standard): DTA, employee-benefit assets, Ind AS 109 financial assets, biological assets at FV – CTS, insurance contracts 5
- → Plan to sell a **subsidiary** with loss of control → classify **all** its assets & liabilities as HFS, even if a non-controlling stake is retained 8A
- → Investment in associate / JV becoming HFS → **stop equity method** for that portion (Ind AS 28 · 20)

4 Change of plan 26 - 29

No longer HFS → measure at **lower of**: (a) carrying amount **before** classification, **adjusted** for depreciation / amortisation / revaluation that would have been recognised; and (b) **recoverable amount** at the date of decision. Adjustment → **P&L from continuing operations**.

5 Discontinued operation 32

A **component** disposed of / HFS that: is a **separate major line of business or geographical area**; or part of a single plan to dispose of one; or a **subsidiary acquired exclusively for resale**.

6 Presentation – the comparatives trap

Statement	Presentation	Comparatives?
P&L	**Single amount**: post-tax profit / loss of DO + post-tax gain / loss on remeasurement / disposal; analysis in notes 33	**RE-PRESENTED** 34
Balance sheet	HFS assets and HFS liabilities **separately**; **not offset**; OCI accumulated shown separately 38	**NOT restated** 40
Cash flows	Net operating, investing, financing cash flows of DO disclosed	**Re-presented**

P&L tells a **story over time** → re-present comparatives. Balance sheet is a **photo on the date** → leave last year's photo alone.

7 Links & AAA

- → **Ind AS 16** – depreciation stops on HFS; **Ind AS 36** – goodwill-first allocation; **Ind AS 10 / 10S · 12** – post-RD criteria; **Ind AS 33** – EPS for DO; **Ind AS 108** segments
- → AAA: **SA 540** (FV – CTS); **SA 580** (management's intent); **SA 570** if major operations discontinued

✍ **Write in exam**

"As per para 15 of Ind AS 105, a non-current asset classified as held for sale shall be measured at the lower of its carrying amount and fair value less costs to sell, and as per para 25 it shall not be depreciated while so classified."